



Study Notes

Fiscal Policy

"We don't have a trillion-dollar debt because we haven't taxed enough; we have a trillion-dollar debt because we spend too much." – Ronald Reagan

Introduction

- Fiscal policy refers to the **use of government expenditure and tax policies to influence the macro-economic factors**, including the demand for goods and services, employment, inflation, and economic growth.
- It is based on the ideas of the British economist John Maynard Keynes (1883-1946), who stated that governments could stabilize their business cycle by using their revenue program to generate favourable and unfavourable effects in the national income, production and employment.
- Three Stances of Fiscal Policy is presented through Figure 2



Figure 1: Types of Fiscal Policy
Source: Web search

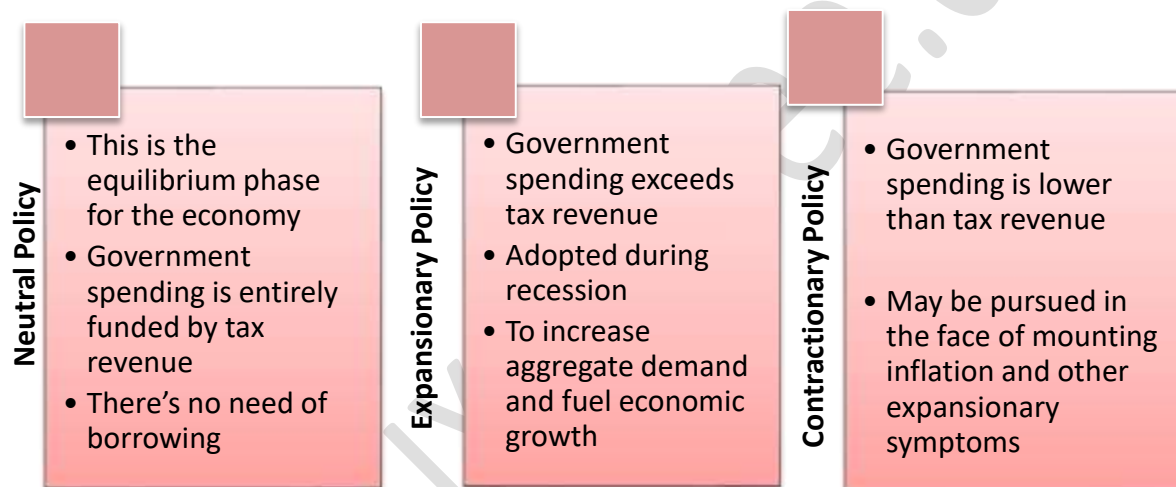


Figure 2: Stances of Fiscal Policy

Significance – Main Objectives

- Control the inflation or deflation in the market, to attain economic stability
- Attainment of full employment by initiating employment oriented public expenditure programs to stimulate effective demand and increase the level of employment
- Helps in diverting resources from undesirable channels to desirable channels
- Helps in attaining economic and social equilibrium – to reduce inequalities between rich and poor thereby improving their welfare
- Reducing the deficit in the Balance of Payments
- Increasing National Income
- Development of Infrastructure

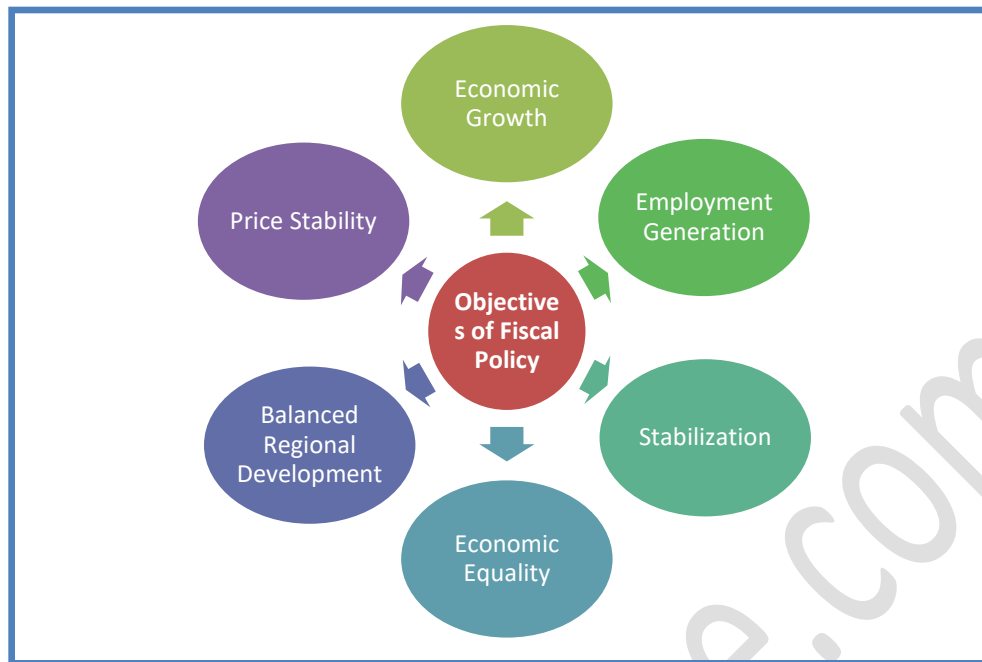


Figure 3: Objectives of Fiscal policy

Fiscal Policy - structure

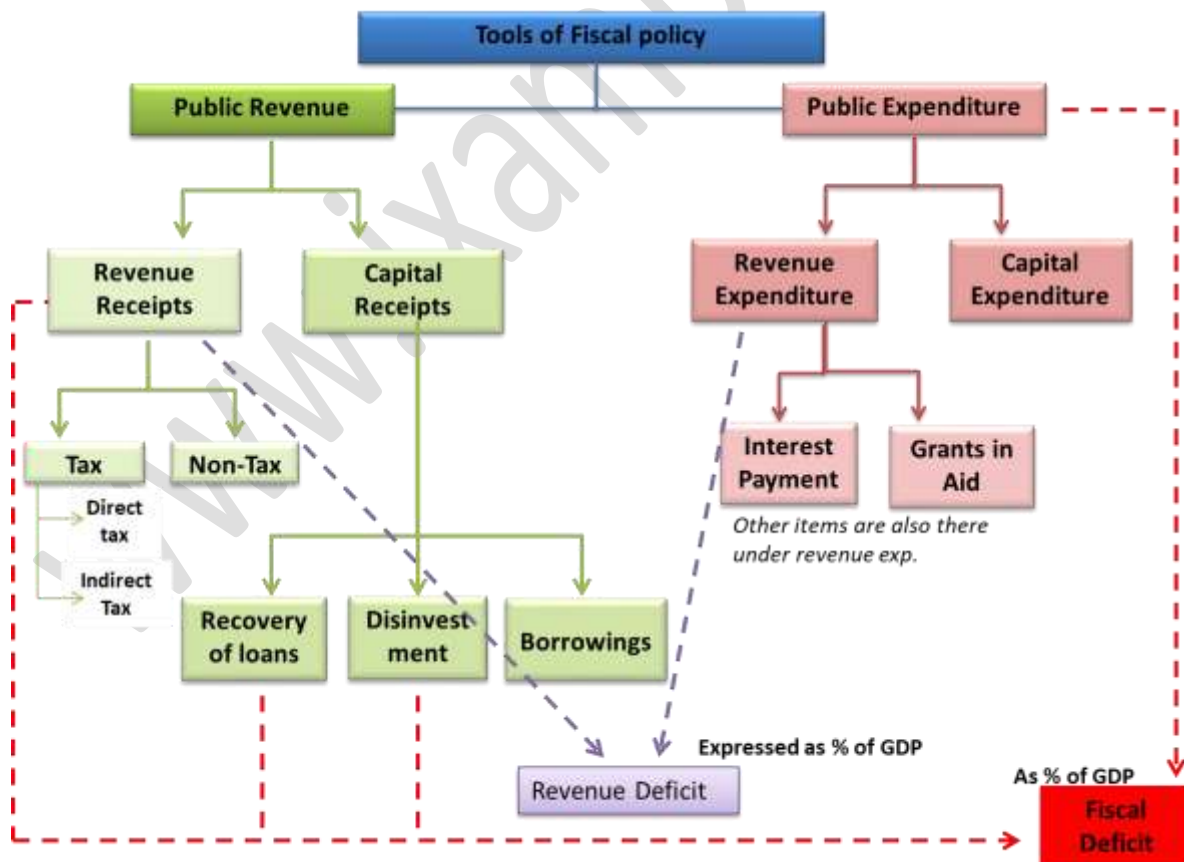


Figure 4: Tools of Fiscal policy

Sources of Funding

- **Taxes** – The most effective way for the Government is to increase tax rates or impose new taxes.
- **Recovery of loans** – The Central Government has been granting loans to various states within and outside the country. When the Government recovers these loans, they get more money which can be used for common welfare.
- **Disinvestment** – Government has equity or shares of the public sector enterprises. It can raise funds by selling its holding in the market, which leads to reduction in assets held by the Government.
- **Borrowings** – The Government borrows money from various institutions or public by issuing bonds or treasury bills. The Government can also borrow funds from financial institutions like World Bank or any other country.

Tools of Fiscal Policy

- ✚ Budgetary Surplus and Deficit
- ✚ Government Expenditure
- ✚ Public Debt
- ✚ Taxation

Budgetary Surplus:

- ✓ Revenue earned by the Government is more than the expenditure
- ✓ Surplus amount is used for the repayment of loans or can be kept as a reserve for the future for economic development
- ✓ This implies that the Government is running the economy efficiently

Budgetary Deficit:

- ✓ Revenue earned by the Government is less than the expenditure
- ✓ The Government reduces its expenditure on public welfare, increases tax rates and also opts for borrowings
- ✓ It implies that the economy is not performing too well

Government Expenditure:

- ✓ At the time of inflation, the Government decides to reduce its expenditure on public welfare like police, military, courts, education etc.
- ✓ This results in the fall of aggregate demand, which leads to reduction in the inflationary gap
- ✓ At the time of deflation, the Government decides to increase its expenditure on public welfare, thereby increasing the aggregate demand and removing unemployment – which in turn leads to a reduction in deflationary gap

Public Debt:

Public debt refers to the domestic or foreign borrowings by the Government from the private individuals, banking sector and NBFCs.

It can be classified in three ways:

❖ **Internal & External**

- Internal: Government borrowings from within the country, be it citizens or financial institutions or Central Bank
- External: Government borrowings from the international market, only after the home country qualifies for a loan from a foreign land

❖ **Productive & Unproductive**

- Productive: The debt that is expected to create assets which will yield income sufficient to pay the principal amount and the interest on it
- Unproductive: The debt that is raised for financing unproductive assets or heavy unproductive expenditures. It's also called a deadweight debt

❖ **Short term & Long term**

- Short term : The loans which are to be repaid within a period of one year and are used to fulfil the short term needs of the Government
- Long term: Loans that are to be repaid after a period of one year, usually applicable for long term projects

Taxation:

Tax, a legal compulsory payment to the Government by the common people is the most common and effective way for the Government to influence the aggregate demand in the economy.

During inflation, the Government increases the tax rates to reduce the money supply in the economy, which in turn controls the inflationary gap. Whereas, during deflation, the Government reduces the tax rates, which leads to increase in money supply in the economy to control the deflationary gap.

There are two types of taxes:

- ✓ **Direct** – The taxation system, where the liability pay and the incidence lie on the same person i.e. the tax payer. Ex: Income tax, Corporate tax and property tax
- ✓ **Indirect** – The taxation system in which the liability to pay and the incidence of the tax lie on a different person. Ex: GST, custom duty

Kinds of Fiscal Policy

- Based on the area of action and type of adjustment there are three types of Fiscal Policy (Figure 6)

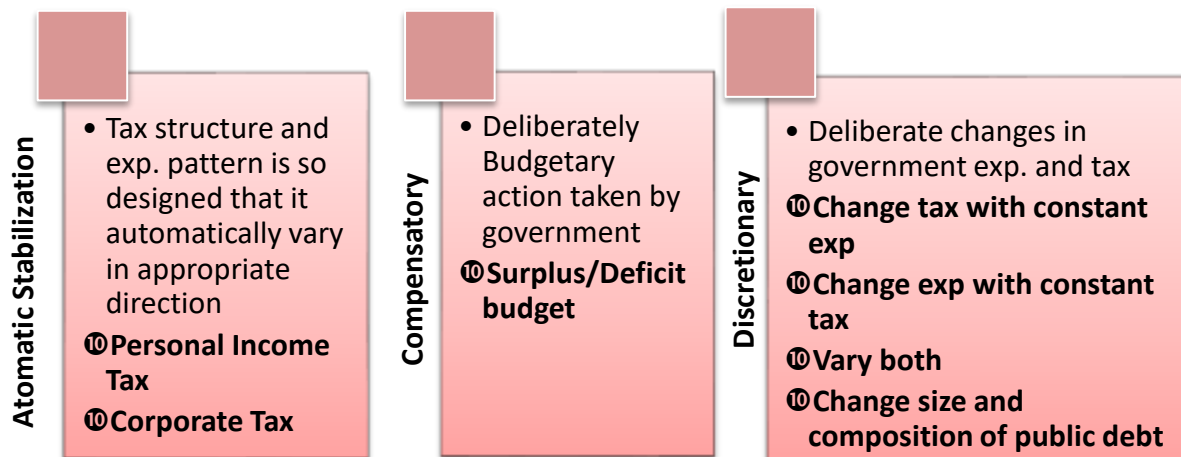


Figure 6: Kinds of Fiscal Policy

Concept of Deficit Financing

- Deficit financing refers to the process in which the **government spends more money than it receives as revenue**, the difference being made up by
 - borrowing or
 - minting new funds (called deficit monetisation)
- In most of the developed and developing nations, the deficit budgets are financed through borrowing.
- Hence, fiscal deficit is an ideal indicator of deficit financing.

Box 1: Types of Deficits

- ✚ **Revenue Deficit (RD)** – it is the difference between revenue expenditure and revenue receipts. A revenue deficit occurs when realized net income is less than the projected net income. A revenue deficit indicates that the liabilities of the Central Government has increased without increase in the assets of that Government
- ✚ **Effective Revenue Deficit (ERD)** – It is the difference between revenue deficit and grants for the creation of capital assets. Effective Revenue Deficit excludes those revenue expenditures which were done in the form of grants for the creation of capital assets.
- ✚ **Fiscal Deficit (FD)** – It is the difference between the total expenditure of the Government (excluding repayment of debt) and total receipts (excluding the borrowings). It is calculated as a percentage of GDP.
- ✚ **Gross Fiscal Deficit (GFD)** – is the excess of total expenditure including loans net of recovery over revenue receipts (including external grants) and non-debt capital receipts.
- ✚ **Primary Deficit** – It is calculated as the fiscal deficit minus the interest payments.

- Three major sources of deficit financing in our country are
 - Foreign loan
 - Domestic borrowing

- Cash balance
- Deficit financing may lead to inflation as money supply increases and the purchasing power of the people also increase. This in turn increases the aggregate demand and the prices of goods also increase.

Deficit Monetization

• Direct Monetisation

- Government issues more bonds to finance a larger fiscal programme, while the Central Bank (i.e. RBI) purchases these bonds on its own balance-sheet in the process.
- This is usually done by printing more currency



Figure 5: Direct Monetisation

• Indirect monetisation

- it is simply Open Market Operations (OMO) conducted by RBI through purchase/sale of government securities in secondary market (i.e. already issued securities)
- it is a monetary policy only, independent of fiscal strategy of the government.

• Automatic Monetisation

- Till 1997 any fiscal deficit was automatically funded by the RBI through the use of ad-hoc T-bills.
- It was abolished under the governorship of C. Rangarajan (19th Governor of RBI)

Box 1: Helicopter Money

- Usually printing of new currency to finance the deficit is also referred to as helicopter money.
- This is an unconventional monetary policy tool aimed at bringing a flagging economy back on track by printing large sums of money and distributing it to the public.
- The term was coined by the American economist Milton Friedman who described it as *"unexpectedly dumping money onto a struggling economy with the intention to shock it out of a deep slump. Under such a policy, the central bank directly increases the money supply and, via the government, distributes the new cash to the population with the aim of boosting demand and inflation."*
- **Helicopter money is different from deficit monetization.** In case of helicopter money, no corresponding asset is created against the new money printed; However, in case of deficit monetization, the government has to pay back for the assets that the central bank buys.

Conclusion

The fiscal policy encompasses two related decisions – public expenditures and the level and structure of taxes. It is quite effective in maintaining full employment without inflationary forces, thereby ensuring economic stability.

The Indian fiscal policy has been successful in several fields like mobilization of resources for economic development, increasing rate of savings and capital formation, developing medium and small-scale industries while reducing the incidence of poverty.